Housing, Rents, Moving Costs

And Labor-Market Adjustment

Special Topic 4: Urban and Labor – Week 2

Central question

- When do housing markets and moving costs prevent workers from reaching better labor-market opportunities?
- Housing is a labor-market constraint because it governs who can live near, commute to, and remain attached to jobs.
- The key object is real access, not nominal wages alone.
- The research task is to identify which friction is binding.

Labor-space-housing framework

$$U_{ijr} = w_j - R_r - \tau(d_{jr}) + A_r - M_{ir} + \varepsilon_{ijr}$$

Term	Interpretation
w_j	wage at workplace j
R_r	rent or housing cost at residence r
$\tau(d_{jr})$	generalized commute cost between workplace and residence
A_r	local amenity or disamenity value
M_{ir}	worker-specific moving or attachment cost

How housing enters labor outcomes

- Rents convert nominal wages into real access.
- Housing supply elasticity determines whether shocks move prices or population.
- Moving costs make migration responses unequal and sometimes slow.
- Wealth, credit, tenure, and liquidity constraints shape who can enter high-opportunity places.
- Commuting can substitute for migration, but only when transport access is feasible.
- Local shocks are absorbed through wages, rents, employment, population, firms, and flows.

Nominal wage gain versus real access gain

$$\Delta RA_i = \Delta w_i - \Delta R_i - \Delta \tau_i + \Delta A_i - \Delta M_i$$

- A higher wage is not automatically a higher-opportunity place.
- Rent capitalization can transfer part of the gain to landlords or incumbent homeowners.
- Commute costs can preserve access without migration, or erase the practical value of a wage gain.
- Worker heterogeneity matters: skill, wealth, tenure, family constraints, and credit access change the net gain.

Supply constraints versus moving costs

Friction	Signature	Counterfactual
Housing supply constraint	high rents, high prices, limited population growth	allow more housing in productive places
Moving-cost friction	workers do not relocate despite wage gaps	reduce relocation, search, liquidity, or tenure barriers
Credit or wealth constraint	access differs by liquidity, ownership, or borrowing capacity	relax financing or upfront-cost barriers
Regulatory constraint	price adjustment concentrated where building is hard	change land-use or permitting limits

Migration and commuting

- Migration changes residence and the whole job-residence bundle.
- Commuting links workers to jobs without residential relocation.
- A local shock can increase in-commuting even when local population barely changes.
- Commuting openness changes local employment elasticities and incidence.
- Inequality appears when some workers can move, others can commute, and others can do neither.

Incidence: who captures local opportunity?

Claim	What to check
Workers gain	real wages rise after rents and commuting costs
Landlords gain	rents rise faster than worker real access
Homeowners gain	house prices capitalize the shock
Firms gain	labor supply expands with limited wage pressure
Commuters gain	workplace employment rises without resident gains
Would-be migrants lose	productive places price out entrants

Equilibrium adjustment

$$\Delta Y_\ell = (\Delta w_\ell, \, \Delta R_\ell, \, \Delta N_\ell, \, \Delta E_\ell, \, \Delta C_\ell, \, \Delta P_\ell)$$

- w: wages, R: rents, N: residents, E: employment.
- C: commuting flows, P: house prices or local prices.
- The pattern across margins reveals the likely binding friction.
- One coefficient rarely tells the whole incidence story.

Paper architecture

Bucket	Research role
Foundational framework	wages, rents, amenities, and location choice
Housing constraints and misallocation	productive places blocked by housing costs or supply
Moving costs and migration adjustment	workers fail to move after opportunity or decline
Commuting and within-metro access	workers reach jobs without changing residence
Local shocks and incidence	surplus divided among workers, firms, owners, and landlords

Data sources researchers use

Source	Typical use
ACS / ACS PUMS	rents, tenure, migration, commutes, worker traits
Decennial Census / long form	long-run population, housing, and sorting
LEHD / LODES / QWI	workplace-residence links and flows
IRS migration	county and state mobility responses
Zillow / FHFA / CoreLogic	prices, rents, transactions, capitalization
HUD / vouchers / HMDA	assistance, mobility supports, credit access
CZ / MSA / tract / ZIP delineations	labor-market and housing-market geography
Supply / regulation measures	elasticity, zoning, permits, land constraints

Research architecture / design map

Design family	Best use
Spatial equilibrium / counterfactual	aggregate misallocation and welfare incidence
Bartik-style / shift-share shock	wage, rent, employment, and population incidence
Housing-supply heterogeneity	price versus quantity adjustment
Migration event study	timing and heterogeneity of relocation
Commuting or transport shock	access changes without migration
Administrative linkage	worker, firm, residence, and workplace heterogeneity

What makes a contribution

- Identify the binding friction rather than naming housing generically.
- Separate nominal wage effects from real access effects.
- Use a geography that matches the labor-market margin.
- Measure both residence and workplace outcomes when possible.
- State incidence: workers, landlords, homeowners, firms, commuters, or excluded entrants.

Discussion prompts

- A city has higher nominal wages. What data are needed before calling it a better opportunity?
- A demand shock raises employment and rents. Who gained?
- How would you distinguish a housing supply constraint from a moving-cost friction?
- When does transit policy create labor access without migration?

Bridge to Week 3

- Week 2 asks when housing blocks or redirects access to productive places.
- Week 3 moves inside the metro area: spatial mismatch, segregation, neighborhoods, networks, and job access.
- The same discipline carries forward: define reachable jobs, housing costs, feasible commutes, and incidence.

Takeaways

- Housing is part of labor-market adjustment, not background context.
- Real access depends on wages, rents, commuting, amenities, and moving costs.
- Migration and commuting are distinct adjustment margins.
- The best papers identify which friction is binding and who captures the surplus.